

The Claremont City Council held a meeting on Thursday, October 19, 2017, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

Ward I Councilor Carolyn Towle
Ward II Councilor Scott Pope
At-Large Councilor Keith Raymond
Assistant Mayor Allen Damren
Mayor Charlene Lovett
At-Large Councilor Abigail Kier
At-Large Councilor Bruce Temple
Ward III Councilor Nicholas Koloski
At-Large Councilor John Simonds

Also present:

Ryan McNutt, City Manager

OLD BUSINESS

Keno Public Hearing

Mayor Lovett said the purpose of this meeting is to address the Keno question that the Council voted on August 23rd to place on the November 7th ballot (Shall we allow the operation of Keno games in Claremont). She introduced Kelley-Jaye Cleland, NH Lottery Director of Sales and Product Development, who was in the audience in case anyone has questions.

Mr. Koloski recused himself as his restaurant would be eligible to participate in Keno and he stepped down from the Council table.

Mayor Lovett reviewed SB191 establishing keno and relative to funding for kindergarten.

At 6:33 p.m. Mayor Lovett opened the public hearing.

Bernie Folta, Ward 3, said this is a painless way to get more revenue to the government. One of the objections to Keno is that it tends to be less economically advantaged people who play the game. To the NH Lottery Commission he said it was too bad there isn't also some kind of game that attracted higher economically advantaged people. He is in favor of Claremont having access to those additional funds for kindergarten.

Mayor Lovett said even if voters vote to have Keno in the City, businesses still have to apply for the license. This law states beginning in FY2019, in addition to the money received for the half-day kindergarten rate which is \$1,800, starting in October 2018, whether or not Keno is in effect,

the schools will get an additional \$1,100 for a total of \$2,900. After that, the hope is the school district will get the full amount for an adequate education which is \$3,600.

Dr. Middleton McGoodwin, School Superintendent, talked about full-day kindergarten and its benefits for children. Early intervention offers a much better chance to remediate needs. Currently 50 children attend the early childhood program. Early childhood intervention and full-day kindergarten decreases remediation later on. Full-day kindergarten is not a luxury, it's a necessity. He is most excited for the opportunity for additional funding. State revenues continue to decrease. Any opportunity to offset that with additional revenue is certainly needed. There are 120 kindergarteners in Claremont. The state says it costs \$3,600 to provide an adequate education, but Claremont is spending five times that amount to give children an adequate education. It costs an average of \$18,000 per student per year.

Joe Osgood, Ward 2, said when casino bills came up in Concord [when he was a State Representative] he was against them. He was on the Ways & Means Committee when Keno came up. His reason for not wanting casinos was that the casino people in Las Vegas would get the majority of the money. With Keno, the money stays in NH, so that's what sold him. He wants the money to stay in NH. He asked if the City could have its own guidelines for allowing a business to have Keno, for example if a building is not up to Code or a business is not current on its City taxes, can the City disallow Keno for that business.

Ms. Cleland said the Council voted to allow Keno on the ballot. This is the public hearing for people to speak to it. Questions regarding local ordinances would have to be referred to the Attorney General's office.

Ms. Towle asked about administrative expenses. Ms. Cleland said they estimate \$175,000 revenue per location with 250 locations which is \$43.7 million. Of that, 8% goes back to bar & tavern owners that allow Keno, 1% to Health and Human Services for help for addiction, 2% for lottery overhead administrative fees, and 70% back to the players.

David Pardy, Ward 2 resident and vice president of a local non-profit with a liquor license said this will be quite a draw on the City. He said it will cost \$500 to put it in. Claremont has the highest taxes in state. He doesn't see the benefit in this. The City already has full-day kindergarten.

Ms. Cleland said they have heard complaints about the \$500 license fee. All the equipment is supplied for free. There has to be a starting cash drawer. They estimate \$175,000 revenue per location which would be about \$14,000 per year minus the \$500 fee back to the business. It has been shown that people spend more money in bars and restaurants that have Keno. That will also help the meals & rooms tax.

Mayor Lovett said even if Claremont votes to allow Keno, it is up to the individual establishments to determine if they want to have it.

Ms. Cleland said the goal is to have Keno in place by December 15th.

Nick Koloski spoke as a Ward 3 resident. He said even after the presentation(s) he has heard, he is still not sold. He asked about other communities. Ms. Cleland said Franklin is the closest to Claremont. There are 11 cities that have voted to place it on the ballot. Portsmouth said no to placing it on the ballot. Franklin passed Keno by ballot vote.

Mr. Koloski said having Keno in an establishment is not an easy decision. He is not convinced a lot of people will participate. Staffing for this may be an issue for him. If a building has Code issues, it would not have a Certificate of Occupancy (CO) and a CO is required for a liquor license. Regarding back taxes, he asked to not punish the tenant for the owner not paying the taxes. He asked if the establishment loses its liquor license, will the Lottery take away this Keno license. Ms. Cleland said yes.

Bernie Folta, Ward 3, said Claremont is a border town; he asked if the Lottery has done any estimating of how much border traffic this would bring in.

Ms. Cleland said they don't have exact figures. They plan to advertise on the borders. The highest grossing lottery sales are on the borders. They think Claremont is a great market for Keno.

Cynthia Howard, Ward 2, said she thinks this is an extreme measure for education funding. If there is a hole to fill, she thinks Claremont taxpayers will have to make up that difference. The percentage from the Lottery for education is not that much. It will not make a difference on our taxes. She suggested privatizing kindergarten, parents should pay more, or come up with some other form of funding. This is a short-term fix. There needs to be another solution.

At 7:15 p.m. Mayor Lovett closed the public hearing.

At 7:15 p.m. Mr. Koloski returned to the Council table.

Mr. McNutt said Governor Sununu will be in Claremont on Monday, October 23rd, 1:30 p.m.-2:30 p.m., to meet with Councilors, the State Delegation and other community members at the Claremont Savings Bank Community Center (CSBCC).

Mayor Lovett asked if Councilors had specific topics to discuss. She said the Governor's priorities in the State of the Union speech were: fiscal and regulatory environment that promises greater job growth; job retention and workforce development; and economic opportunity for all. She said Mr. Pope would want to talk about the tech center.

Mr. Raymond said he wants to make sure the Governor knows that Claremont, originally, was not included on the list for discussions about the 10-Year Transportation Plan.

Mr. McNutt said he will talk to the Governor about 10-Year Plan and the City's red-listed bridges.

Mr. McNutt said the Governor's staff is looking for this to be a roundtable with the School Superintendent, Mayor, City Manager, etc.

There was a brief discussion about having an accidental quorum of the Council.

Mayor Lovett said the priority 2 was to strengthen and enhance opportunities for children and families and she thinks the discussion should be about kindergarten and the City's need for additional educational funding.

Mr. McNutt said he met with School Superintendent Dr. Middleton McGoodwin and Dr. McGoodwin's school budget handout will be helpful to give to the Governor.

Mayor Lovett said the third priority is the lead initiative.

Mayor Lovett asked if the Council was okay with her working with Mr. Damren and Mr. McNutt to put together the agenda.

Mr. Koloski asked if the Municipal Election could be added to the City's calendar. Also, he asked if a banner could be put up to remind people to vote. Mr. McNutt said he will check on this.

Mr. Koloski said that normally there is some sort of forum for candidates and he was hoping someone would put that together. Mayor Lovett said she sent an email to the Chamber and hadn't heard back.

Mr. Simonds said regarding signage reminding people to vote that Newport puts out a large sandwich board "Remember to Vote Today" and it is a huge attention getter.

Ms. Towle asked to list the candidate's information on the website.

Mr. Koloski asked about paying for a banner from the Council line item. Mayor Lovett said there is \$4,200 left in that line item and she wants to make sure there is enough money for training.

ADJOURNMENT

At 7:27 p.m., a motion was made by Mr. Damren and seconded by Mr. Raymond to adjourn.

Voice vote: motion carried 8-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council